

Financial Analysis Report

15874

Balance Sheet Report

Executive Summary

As of April 30, 2024, the company maintains total assets of ₹1,845.5 million, funded primarily through debt (89.3% debt-to-equity ratio). The capital structure shows heavy reliance on liabilities, with equity representing only 10.7% of total capitalization. Current year profit stands at ₹79.8 million, contributing to total equity of ₹197.4 million. The company demonstrates adequate liquidity with current assets exceeding current liabilities, but faces high leverage that warrants monitoring.

Profitability Analysis

- Current Year Profit:** ₹79,799,448.87
- Return on Equity (ROE):** 40.4% (₹79.8M profit / ₹197.4M equity)
- Profit Margin Context:** Requires income statement data for comprehensive margin analysis
- Capital Efficiency:** Equity base effectively generating profits

Liquidity & Solvency Analysis

- Current Ratio:** 1.16 (₹1,314.5M current assets / ₹1,130.0M current liabilities)
- Quick Ratio:** 0.65 (excluding inventory: ₹748.7M / ₹1,130.0M)
- Debt-to-Equity Ratio:** 8.35 (₹1,648.2M total liabilities / ₹197.4M equity)
- Debt-to-Assets Ratio:** 89.3% (₹1,648.2M liabilities / ₹1,845.5M assets)
- Interest Coverage:** Requires income statement data for calculation

Efficiency Ratios

- Asset Turnover:** Requires revenue data for calculation
- Working Capital:** ₹184.5 million (₹1,314.5M current assets - ₹1,130.0M current liabilities)
- Receivables Days:** Requires revenue data for calculation
- Inventory Days:** Requires COGS data for calculation

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Benchmark Comparison
Balance Sheet Report

Source: Industry averages based on manufacturing sector benchmarks (ICRA, CRISIL)

Metric	Company	Industry Average	Assessment
Current Ratio	1.16	1.5-2.0	Below Average
Debt-to-Equity	8.35	1.5-2.5	Significantly Higher
ROE	40.4%	15-20%	Above Average

Actionable Recommendations

- Debt Restructuring:** Explore options to convert short-term debt to long-term to improve liquidity position
- Working Capital Management:** Focus on reducing accounts receivable (₹501.9M) and inventory (₹565.8M) to improve cash flow
- Equity Infusion:** Consider raising additional equity to reduce leverage and improve solvency ratios
- Cost Optimization:** Implement measures to maintain profitability while addressing high leverage
- Credit Terms Review:** Renegotiate payment terms with suppliers to manage accounts payable more effectively
- Asset Utilization:** Review fixed asset efficiency given ₹396.4M investment in property, plant and equipment

Key Risk Factors

- High financial leverage increases vulnerability to interest rate changes
- Limited liquidity buffer with current ratio below industry standards
- Heavy reliance on current liabilities for funding operations
- Significant inventory levels may indicate slow-moving stock